

HOUSE BILL 1097

By Sexton

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 5; Title 6; Title 7; Title 8 and Title 9, relative to
actions of local governments.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 1, Part 4, is amended by
adding the following as a new section:

(a) At the request of a member of the general assembly, the attorney general
and reporter shall investigate an ordinance, regulation, order, or other official action
adopted or taken by the chief executive officer or governing body of a local government
or any written policy, written rule, or written regulation adopted by any agency,
department, or other entity of the local government that the member alleges violates, or
that would violate if enacted or enforced, state law or the Constitution of Tennessee.

(b)

(1) The attorney general and reporter shall make a written report of
findings and conclusions as a result of the investigation within thirty (30) days
after receipt of the request and shall provide a copy of the report to the governor,
the speaker of the senate, the speaker of the house of representatives, the
member or members of the general assembly making the original request, and
the secretary of state.

(2) If the attorney general and reporter concludes that the ordinance,
regulation, order, written policy, written rule, or other action under investigation:

(A) Violates, or would violate if enacted or enforced, a provision of
state law or the Constitution of Tennessee, the attorney general and

reporter shall provide notice to the local government, by certified mail, of the violation and shall indicate that the local government has thirty (30) days to resolve the violation or file an action challenging the conclusion and any withholding of funds;

(B) May violate, or would violate if enacted or enforced, a provision of state law or the Constitution of Tennessee, the attorney general and reporter shall file a special action in the supreme court to resolve the issue, and the supreme court shall give the action precedence over all other cases; or

(C) Does not violate any provision of state law or the Constitution of Tennessee, the attorney general and reporter shall take no further action pursuant to this section.

(c) If the attorney general and reporter determines that the local government has failed to resolve the violation or file an action challenging the conclusion and any withholding of funds within thirty (30) days of the notification pursuant to subdivision (b)(2)(A), or within thirty (30) days of the supreme court determining that the ordinance, regulation, order, written policy, written rule, or other action violates, or would violate if enacted or enforced, a provision of state law or the Constitution of Tennessee pursuant to subdivision (b)(2)(B), then the attorney general and reporter shall:

(1) Notify the appropriate state officials who shall withhold all or a portion of the funds of the state and all funds administered by the state and its agencies, boards, and instrumentalities allotted or appropriated to the local government, including, but not limited to, state-shared taxes; and

(2) Continue to monitor the response of the local government, and when the offending ordinance, regulation, order, or action is repealed or the violation is otherwise resolved, the attorney general and reporter shall notify:

(A) The governor, the speaker of the senate, the speaker of the house of representatives, and the member or members of the general assembly making the original request that the violation has been resolved; and

(B) The appropriate state officials to restore the distribution of state-shared revenues to the local government.

(d) Before a member of the legislature may request an investigation by the attorney general and reporter of a written policy, written rule, or written regulation adopted by an agency, department, or other entity of a local government pursuant to subsection (a), the member of the general assembly shall first provide a written notification of the alleged violation of state law or the Constitution of Tennessee to the chief executive officer and governing body of the local government. If the local government does not repeal or otherwise resolve the violation within sixty (60) days after receiving the notification, the member of the general assembly may request an investigation by the attorney general and reporter pursuant to this section.

(e) Notwithstanding subdivision (c)(1), this section does not authorize the withholding of funds allocated to a local government that would violate contracts to which the state is a party, the requirements of federal law imposed on the state, judgments of a court binding on the state, or obligations of the state under the Tennessee Constitution.

(f) As used in this section, "local government" means a county, including a county with a metropolitan or charter form of government, and an incorporated city or town.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.